STELLA MUNDI (PVT) LTD

Versus

MURIMI TWO FOUR SEVEN (PVT) LTD

And

THE SHERIFF FOR ZIMBABWE NO

HIGH COURT OF ZIMBABWE
COMMERCIAL DIVISION
CHILIMBE J
HARARE 15 September 2025 and 20 July 2026

Opposed application

E. Donzvambeva for applicant
C.Madhlabe for first respondent
No appearance for second respondent

CHILIMBE J

BACKGROUND

[1] I dismissed the applicant`s prayer for a declaratur under judgment number HH 448-24. The applicant appealed against the judgment to the Supreme Court which remitted the matter with the following guidance[1]; -

1. The appeal be and is hereby allowed with each party bearing its own costs.

2. The judgment of the court *a quo* is set aside.

3. The matter is remitted to the court *a quo,* before the same Judge, for a determination of the other requirements for a *declaratur*.

THE DISPUTE BETWEEN THE PARTIES

[1] *Stella Mundi (Pvt) Ltd v Murimi Two Four Seven* (Pvt) Ltd & Anor SC 56-25.

[2] Before attending to the task at hand per the above order, I set out for completeness, the factual background to the matter. The applicant ("Stella Mundi") is an agricultural company established by the Zimbabwe Catholic Bishops' Conference of the Catholic Church to run specific agro-projects on church farms. The first respondent ("Murimi") is an agro technology entity offering among other services, the hiring out of farm equipment and general agricultural advisory services.

[3] By written agreement dated 1 June 2022, Murimi was engaged by Stella Mundi to provide land clearance, trenching, tilling, reaping, ploughing, disking, planting, "viconing", booming, and trailer works at Driefontein Mission Farm, Mvuma. A dispute subsequently arose between the parties, resulting in Murimi instituting proceedings under HCHC 321/24. It claimed therein, an amount of US$ 242,682.70. As noted above, this matter was settled in terms of the original consent order with the capital sum reduced to USD $187,754,42.

[4] By its own admission on the papers before me, Stella Mundi breached the terms of the court order. It failed to remit the very first instalment that fell due 31 July 2024. Murimi responded by issuing out a writ of execution which the second respondent duly executed by attaching Stella Mundi's vehicles and movable property on 8 August 2024.

[5] Removal of the attached property was scheduled for 15 August 2024.Stella Mundi attempted to forestall same by effecting payments totalling ZiG2,588,439 into Murimi`s bank account. These payments, made between 14 and 15 August 2024, were a conversion of the judgment debt of USD $187,754,42 in the local ZiG currency at an exchange rate of US$1 to 13,7863 ZiG.

[6] Whilst Stella Mundi further admitted that (i) the payment into applicant`s bank account and (ii) in ZiG rather than USD constituted a departure from the terms of the order, it insisted that the arrangement was not in breach of the court order. Before summarising the arguments presented over the relief sought, I set out the original consent order and the declaratur sought.

The consent order

1. The defendant shall pay an amount of US$187,954.42

2. The amount referred to above shall be paid through the plaintiff's legal practitioners 'Trust Account as follows;
    a) US$30,000 on or before 31 July 2024,
    b) US$30,000 on or before 31 August 2024,
    c) US$37,954.42 on or before 30 September 2024,
    d) US$30,000 on or before 31 October 2024,
    e) US$30,000 on or before 30 November 2024,
    f) US$30,000 on or before 31 December 2024.

3. In the event of defendant failing to pay any installment on the due date as indicated above, the balance which remains outstanding shall immediately become due and recoverable.

4. Each party to bear its own costs.

The declaratur sought

1. The payment of a combined sum of ZiG 2,588,439.00 (two million five hundred and eighty-eight thousand and four hundred and thirty-nine Zimbabwean Gold) by the Applicant and/or it's agents on the 14 and 15 August 2024 into the 1st Respondent's bank account for a judgement debt of US$187 754.42 (one hundred and eighty-seven thousand seven hundred and fifty-four United states dollars and forty-two cents) being the equivalent amount of the judgement debt which was expressed in United States dollars at the official interbank rate between the United States dollar and the Zimbabwean Gold currency legally extinguished the Applicant's indebtedness to the 1st Respondent;

2. The notice of seizure and attachment of the Applicant's property issued by the 2 nd Respondent on 21 August 2024 at the instance of the 1 st Respondent's legal practitioners –ex post facto the satisfaction of the judgement debt by the Applicant by 15 August 2024- and after the communication of that fact to both Respondents is a legal nullity;

CONSEQUENTLY;

3. The Applicant's attached property as described on the inventories to the notice of seizure and attachment dated 8 and 21 August 2024 respectively, be and is hereby immediately removed from judicial attachment.

4. The 1 st Respondent be and is hereby ordered to pay the Applicant's costs on a legal practitioner and client scale.

ARGUMENTS BEFORE THE COURT

[7] Counsel for both parties were aligned that the Supreme Court judgment remitting the matter to the High Court had made the court`s task significantly simpler. As such, counsel elected to abide by the arguments presented in the earlier hearing leading to HH 448-24. They also drew attention to the corrective guidance provided in SC 56-25 insofar as it related to the judgment which the Supreme Court subsequently set aside.

[8] In essence, the matter turns on whether at law, the applicant enjoyed the right to settle the obligation arising from the judgment debt (and sounding in USD) in local currency. Mr *Donzvambeva* for Stella Mundi placed reliance on s 22 of the Finance Act (No. 2) of 2019 which provided as follows; -

> 22 Issuance and legal tender of RTGS dollars, savings, transitional matters and validation
>
> (1) Subject to section 5, for the purposes of section 44C of the principal Act, the Minister shall be deemed to have prescribed the following with effect from the first effective date—
>
> (a) that the Reserve Bank has, with effect from the first effective date, issued an electronic currency called the RTGS dollar; and
>
> (b) that Real Time Gross Settlement system balances expressed in the United States dollar (other than those referred to in section 44C (2) of the principal Act), immediately before the first effective date, shall from the first effective date be deemed to be opening balances in RTGS dollars at par with the United States dollar; and
>
> (c) that such currency shall be legal tender within Zimbabwe from the first effective date; and (d) that, for accounting and other purposes(including the discharge of financial or contractual obligations), all assets and liabilities that were, immediately before the first effective date, valued and expressed in United States dollars (other than assets and liabilities referred to in section 44C(2) of the principal Act) shall on the first effective date be deemed to be values in RTGS dollars at a rate of one-to-one to the United States dollar; and
>
> (e) that after the first effective date any variance from the opening parity rate shall be determined from time to time by the rate or rates at which authorised dealers exchange the RTGS dollar for the United States dollar on a willing-seller willing-buyer basis; and
>
> (f) every enactment in which an amount is expressed in United States dollars shall, on the first effective date (but subject to subsection (4)), be construed as reference to the RTGS dollar, at parity with the United States dollar, that is to say, at a one-to-one rate.

[9] The interpretation of s 22 (1) (e) underlined above is a settled matter in the jurisdiction. (See *Parks and Wildlife Management Authority v Shearwater Adventures (Pvt) Ltd* HH 156-23, at paragraph 8,*Sabina Altaf Ahmed v Joina Development Company (Pvt) Ltd* HH

315/24, at [16], *Logivate Incorporated (Pvt) Ltd v Commissioner General Of Zimbabwe Republic Police & Anor* HH 278-23 at pages 85 and 86, and *Regis Magauzi v Francis Jekera & Anor* SC 54-22 where the Supreme Court cited the leading authority of *Zambezi Gas (Pvt) Ltd v N. R. Barber (Pvt) Limited & Anor 2020 (1) ZLR 138 (S)* and observed thus; -

> "[15] The law on the distinction between *section 4 (1)(d) and s 4 (1)(e) of S.I. 33 of 2019 and s 22 (1)(d) and s 22(1)(e) of the Finance Act (No 2) of 2019* on the payment of liabilities and assets valued in United States Dollars immediately before and after the effective date depends on the interpretation of the two sections. The interpretation of *s 4(1)(d)* was clarified by this Court in the *Zambezi Gas* case*, (supra)* where Malaba CJ in interpreting the effect of *s 4(1)(d)* at *para 42-44* said :—
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> *"The phrase "**immediately before" means that the liability should have existed at a date before the effective date and that such liability should have been valued and expressed in United States dollars**. The issue of the time-frame within which the liability arose in relation to the effective date of 22 February 2019 does not matter. What is of importance is the fact **that the liability should have been valued before the effective date in United States dollars and was still so valued and expressed. The judgment debt was ordered against the appellant on 25 June 2018. It was valued and expressed in United States dollars and was still so valued and expressed immediately before 22 February 2019.** Section 4 (1)(d) of S.I. 33/19 provides that all assets and liabilities that were valued and expressed in United States dollars immediately before the effective date shall "on and after" the effective date be deemed to be values in RTGS dollars at a rate of one-to-one to the United States dollar." (emphasis added)*
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> [16] Commenting on *s 4 (1)(e)* the Chief Justice at para 54 said: —
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> *"The transactions entered into after the effective date would fall under the provisions of s 4 (1)(e) of S.I 33/19"*
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> [17] *Section 4(1)(e) of S.I. 33/19 and s 22 (1)(e) of the Finance Act (No 2) of 2019* provides as follows: —
>
> ***"(e) that after the effective date any variance from the opening parity rate shall be determined from time to time by the rate at which authorised dealers under the Exchange***

> ***Control Act exchange the RTGS Dollar for the United States Dollar on a willing seller-buyer-basis … .”*** *(emphasis added)*
>
> [**18]** ***Section 4 (1)(e)*** **clearly means that the rate at which any value in United States dollars established by any means including judgment debts shall after the effective date be based on the rate at which authorised dealers under the Exchange Control Act exchange the RTGS Dollar for the United States Dollar on a willing seller –buyer basis”** [marked in bold and underline for emphasis]

[10] Consequently, the judgment debt was subject to the prescription in s 22(1) (e) of the Finance Act (No. 2) of 2019, read together with the definition of “judgment debt” contained in s 20 of the same statute, which provides that; -

> “judgment debt” means a decision of a court of law upon relief claimed in an action or application which, in the case of money, refers to the amount in respect of which execution can be levied by the judgment creditor; and, in the case of any other debt, refers to any other steps that can be taken by the judgment creditor to obtain satisfaction of the debt (but does not include a judgment debt that has prescribed, been abandoned or compromised).”

[11] In the same vein, reference in s 22(1) (e) to the RTGS currency translates, by operation of s 6 of the Presidential Powers (Temporary Measures) (Zimbabwe Gold Notes and Coins) Regulations, SI 60 of 2024. In that respect, untenable is the argument by Mr *Mahlabe*, (counsel for Murimi), that settlement of the judgment debt in a currency other than that stipulated in the court order amounted to an improper amendment of the order.

REQUIREMENTS OF A DECLARATUR

[12] Against the conclusion that Stella Mundi was entitled, as a matter of law to settle the judgment debt in local currency at the applicable rate, I turn to consider whether the discretionary basis to grant the declaratur prayed for exists. The requirements of a declaratur in terms of s 14 of the High Court [Chapter 7:06] were set out in the seminal decision of *Johnsen v AFC* 1995 (1) ZLR 65 (S) where the court held at page 72 as follows; -

> "The condition precedent to the grant of a declaratory order under s 14 of the High Court of Zimbabwe Act 1981 is that the applicant must be an ―interested person, in the sense of having a direct and substantial interest in the subject matter of the suit which could be prejudicially affected by the judgment of the court. The interest must concern an existing, future or contingent right. The court will not decide abstract, academic or hypothetical questions unrelated thereto. But the presence of an actual dispute or controversy between the parties interested is not a prerequisite to the exercise of jurisdiction. See *Ex parte Chief Immigration Officer* 1993 (1) ZLR 122 (S) at 129F-G; 1994 (1) SA 370 (ZS) at 376G-H; *Munn Publishing (Pvt) Ltd v ZBC* 1994 (1) ZLR 337 (S) and the cases cited. It was rightly not in contention before the court a quo that the appellant was an interested person. Accordingly, the first stage in the determination of whether it was competent to grant a declarator was met.
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> At the second stage of the enquiry, the court is obliged to decide whether the case before it is a proper one for the exercise of its discretion under s 14 of the Act. *It must take account of all the circumstances of the matte*r. See Reinecke v Inc Gen Insurances Ltd 1974 (2) SA 84 (A) at 95C; Dyson v A-G Page 73 of 1995 (1) ZLR 65 (H) [1911] 1 KB 410 (CA) at 417; Burghes v A-G [1911] 2 Ch 139 at 156. What, in the end, constitutes a proper case is where some tangible and justifiable advantage to the applicant is shown to exist. See Adbro Invtm Co Ltd v Min of Interior & Ors 1961 (3) SA 283 (T) at 285B-C; Reinecke v Inc Gen Insurances Ltd supra at 93D-E." [Underlined and italicised for emphasis]

[13] In *Stella Mundi (Pvt) Ltd v Murimi Two Four Seven* (Pvt) Ltd & Anor SC 56-25, the Supreme Court also traversed the authorities on the subject at paragraphs [23] to [25]. The existence of a direct and substantial interest in the matter were canvassed in the application. Especially relating to the adverse impact of the attachment of its assets by second respondent. And its taking in purview, "all circumstances" of the matter, this aspect becomes critical.

[14] In *Family Benefit Friendly Society v Commissioner for Inland Revenue & Anor* 1995 (4) SA 120, it was held that the court`s latitude in examined the said circumstances may also scope in the question of public policy. In *Breastplate Service (Pvt) Ltd v Cambria Africa Plc*

SC 66/20; Zambezi Gas (Pvt) Ltd v N.R. Barber & Anor SC 3/20; Mushayakurara v Zimbabwe Leaf Tobacco Company SC 108-21 and *Salzman Et Cie SA v Manojkumar Jivan & Anor* SC 70-23 the Supreme Court made various pronouncements of a public policy nature regarding the question of currency.

[15] In essence, whilst care must be taken to avoid irrational decisions concerning currency matters, given the broader economic considerations, it must be acknowledged, as stated by the Chief Justice in *Zambezi Gas*, that the legislature had spoken. Local currency has a recognised role and place in the transactional regime that governs the conduct of commerce in the land.

DISPOSITION

[16] Herein, Stella Mundi settled its obligations arising from a judgment debt in local currency.

It was entitled to do so by s 22(1) (e) of the Finance Act (No. 2). Settlement of the judgment debt should have put the matter to rest. No issues were raised regarding the value tendered as against the USD.

[17] I accept as well, the argument tendered by Stella Mundi that payment of the judgment debt amount directly into the bank account of Murimi rather than that of the latter`s legal practitioners did not generate any material prejudice. These were after all, parties previously involved in a commercial partnership rather than unconnected strangers.

[18] There were no allegations of malice or mischief in that act neither did I detect any. The point is that satisfaction of a judgment debt gives effect to the statement that there must be finality to litigation. The fastidious demand for payment in USD was unjustified. I see no basis to deny the relief sought, apart from the unmerited prayer for punitive costs.

It is accordingly ordered that; -

1. The application for a declaratory order succeeds.

2. Payment of a combined sum of ZiG 2,588,439.00 (two million five hundred and eighty-eight thousand and four hundred and thirty-nine Zimbabwean Gold) by the Applicant and/or it's agents on the 14 and 15 August 2024 into the 1st Respondent's bank account for a judgement debt of US$187 754.42 (one hundred and eighty-seven thousand seven hundred and fifty-four United states dollars and forty-two cents) being the equivalent amount of the judgement debt which was expressed in United States dollars at the official interbank rate between the United States dollar and the Zimbabwean Gold currency legally extinguished the Applicant's indebtedness to the 1st Respondent;

3. The notice of seizure and attachment of the Applicant's property issued by the 2 nd Respondent on 21 August 2024 at the instance of the 1 st Respondent's legal practitioners –ex post facto the satisfaction of the judgement debt by the Applicant by 15 August 2024- and after the communication of that fact to both Respondents is a legal nullity;

CONSEQUENTLY;

4. The Applicant's attached property as described on the inventories to the notice of seizure and attachment dated 8 and 21 August 2024 respectively, be and is hereby immediately removed from judicial attachment.

5. The 1 st Respondent be and is hereby ordered to pay the Applicant's costs.

Wintertons- applicant`s legal practitioners
Hove Legal Practice-first respondent`s legal practitioners

[**CHILIMBE J__20/7/26**]